Higher National Diploma in Quantity Surveying
Second Year, Second Semester Examination – 2020
QS 22063- Accounting & Finance for Quantity Surveying Profession

Instructions for Candidates:
Answer five questions including question 1 & 2

No. of questions : 06
No. of pages : 06
Time: Three (03) hours

Question 01

The following Trail Balance was extracted from Namal Trading Company as on 31.03.2020.

	Debit (Rs.000)	Credit (Rs.000)
Land and Buildings	6500	
Accumulated. Depreciation- Buildings		750
Motor vehicles	7600	
Accumulated. Depreciation- Motor vehicles		1025
Plant and Machinery	3200	
Accumulated. Depreciation- Plant and Machinery		350
Inventory 01.04.2019	2450	
Trade Receivables & Payables	6000	1600
Purchases& Sales	34520	44000
Building Rent	200	
Carriage Inwards	1500	
Salaries and Wages	1200	
Capital		16200
Discount allowed & Discount received	40	85
Bad Debt	50	
Sales Return & Purchase Return	200	210
Insurance	600	
Advertising	170	
10% Bank loan		780
Cash balance	500	
Bank balance	270	
	65000	**65000**

Additional Information:

a) Inventory was valued as at 31.03.2020 for Rs. 1,500,000

b) Namal decided to write off a Rs 200, 000 due from a debtor as bad debt.

c) The cost of Land was Rs.3000,000.

d) The company depreciates the property, plant and Equipment using the following rates.

Building (on cost) 5%

Motor vehicle (on cost) 15%

Plant and Machinery (on cost) 10%

e) Accrued insurance was Rs. 30, 000, and prepaid rent was Rs 30,000 as on 31.03.2020.

You are required to prepare:

i. Income statement (Trading, profit and loss Account) for the year ended 31.03.2020.

ii. Statement of financial position (Balance sheet) as at 31.03.2020.

(Total 25 Marks)

Question 02

i. The following transactions were extracted from the business of XY sole traders for the month of July 2020.

a) Owner invested Rs 200,000 as an initial capital.

b) Purchased Rs 5,000 goods on cash basis.

c) Sold goods cost of Rs 50,000 for Rs 58,000.

d) Purchased a computer for Rs 75,000.

e) The owner has taken Rs 3,500 cash from the business.

f) Credit purchase was Rs 40,000.

g) Credit sales were Rs 45,000.

h) Salary paid Rs 4,600.

Enter the above transaction into the following equation.

Assets = Capital + Liabilities

(08 Marks)

ii. The following balances were taken from the Harsini's business as on 31.03.2020.

Land and Building	Rs.900, 000	Bank loan	Rs.750, 000
Furniture	Rs.600, 000	Computer	Rs.420, 000
Debtors	Rs.800, 000	Accrued expenses	Rs.20, 000
Creditors	Rs.500, 000	Prepaid payments	Rs.40, 000

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Capital Rs.1, 600,000

Calculate followings:

a) Non-current Assets

b) Current Assets

c) Non-current Liabilities

d) Owners' Equity

e) Working capital

(07 Marks)

(Total 15 Marks)

Question 03

i. The following information extracted from the books of Sunny Ltd for the month of December 2020.

Overhead cost

Wages	Rs.150, 000
Rent and rates	Rs.400, 000
Insurance- Machinery	Rs.48, 000
Heating and lightening	Rs.40, 000

Description	Production Unit 01	Production Unit 02	Service unit
No of employees	30	20	50
Floor area Sq. Meters	2000	1000	1000
Cost of the machinery (000)	40	40	-
Production	7000	3500	

Prepare an Overhead allocation sheet. (11 Mar

ii. The following information is shown in the book of Dilan Traders.

Description	31/12/2019	31/12/2020
Sale	160,000	240,000
Net profit	10,000	40,000
Gross profit	15,000	30,000
Cash	21,000	12,000
Debtors	30,000	14,000
Inventory	12,000	14,000
Pre-payment	15,000	22,000
Current Liabilities	39,600	31,000

Calculate the following ratios for the year of 2020:

a) Gross Profit Ratio
b) Net Profit Ratio
c) Current Ratio
d) Quick Ratio
e) Inventory Turnover Ratio
f) Debtors collection period

(09 Marks)
(Total 20 Marks)

Question 04

i. Quarterly demand for the material B is 200 units. The cost of order is Rs 10. The storage and holding cost is Rs 10.Compute

a) EOQ (Economic Order Quantity)
b) Number of order per year

(06 Marks)

ii .The raw material purchase and issue of Sun & Moon Pvt. Ltd are given below.

Date	Description	No of Units	Unit price in Rs
May 01	Opening inventory	150	10.00
May 08	Sale	75	
May 14	Purchase	60	12.00
May 18	Sale	70	
May 22	Purchase	40	14.00
May 26	Sale	30	
May 30	Sale	55	

Compute the stock value as at 31st May on the following methods:

a) Weighted Average cost
b) FIFO

(14 Marks)
(Total 20 Marks)

Question 05

i. The following information is related to the product.

Sales price per unit	Rs 40
Variable cost	Rs 30
Fixed Cost	Rs 80,000

Calculate:

a) Contribution per unit.

b) Sales at break-even point (in units).

c) Sales at break- even point (in rupees).

d) Contribution sales ratio.

e) What number of units will need to be sold to achieve a profit of Rs 25,000?

(10 Marks)

ii. Income and expenses of Butler's pvt. Ltd from May to August are given below.

Month	Sales Rs.	Purchase Rs.	Salary Rs.	Expenses Rs.
May	80,000	49,000	34,000	4,000
June	90,,000	35,000	19,750	6,500
July	40,000	14,500	24,000	4,350
August	70,000	28,000	20,000	5,600

Additional information:

a) Cash balance on 1st May was Rs 125,000.

b) 80% of sales are on credit terms which are realized in the subsequent month. Balance 20% of cash sales are realized in same month.

c) All purchases are on credit basis. The business plans to pay in the following month.

d) Delay in payment of salary and expenses are for one month.

Prepare a cash flow statement from May to August.

(10 Marks)

(Total 20 Marks)

Question 06

i. The following information is related to the product "X".

Budgeted direct material cost: Rs 400,000 for 10,000 Kgs.

Budgeted direct labor cost: Rs 60,000 for 2,000 hrs.

Actual direct material used 15,000Kgs at Rs 36 per kg.

Actual direct labor hours used 1700 hrs at Rs 27 per hour.

Calculate:

a) Material Price Variance

b) Material Usage Variance

c) Material Cost Variance

d) Labor Rate Variance

e) Labor Efficiency Variance

(10 Marks)

ii. ABC, company wants to invest Rs 1,000,000in an investment plan. But they have two alternatives and the net cash flows of investment plan are as follows:

Year	Plan 1	Plan 2	DF 10%
1	400,000	200,000	0.909
2	200,000	600,000	0.826
3	100,000	200,000	0.751
4	300,000	300,000	0.683
5	400,000	500,000	0.621

The cost of capital is 10%

You are required to compute:

a) The payback period of each plan

b) Calculate the Net Present Value of each plan

c) Advise the company investment decision on NPV